

MGT201 Final Term Past Papers

My today's paper at 12:00pm

These were all MCQ's and ques which i remember

Which of the following combinations will produce the highest growth rate? Assume that the firm's projects offer a higher expected return than the market capitalization rate.

- ▶ A high plowback ratio and a high P/E ratio
- ▶ A high plowback ratio and a low P/E ratio
- ▶ A low plowback ratio and a low P/E ratio
- ▶ A low plowback ratio and a high P/E ratio

The square of the standard deviation is known as the _____.

- ▶ Beta
- ▶ Expected return
- ▶ Coefficient of variation
- ▶ Variance

_____ means expanding the number of investments which cover different kinds of stocks.

- ▶ Diversification
- ▶ Standard deviation
- ▶ Variance
- ▶ Covariance

Which of the following would NOT be the part of the risk if the stock is a single stock investment?

- ▶ Company specific risk
- ▶ Un-diversifiable risk
- ▶ Diversifiable risk
- ▶ Random risk

In efficient market the stock price depends upon the required return which depends upon _____.

- ▶ Market risk
- ▶ Total risk
- ▶ Diversified risk
- ▶ Non- Systematic risk

While calculating the Stock Portfolio Risk using 3x3 Matrix Approach, non-diagonal terms shown in Boxes are called:

- ▶ Variance
- ▶ Coefficient
- ▶ Covariance
- ▶ Correlation

While calculating the stock beta graphically, the formula to calculate the beta coefficient for stock B is:

- ▶ $(r_M^* - r_{RF}) / (r_B^* - r_{RF})$
- ▶ $(r_B^* - r_{RF}) / (r_M^* - r_{RF})$
- ▶ $(r_B^* - r_{RF}) / r_{RF}$
- ▶ $(r_B^* - r_{RF}) / r_M^*$

High uncertainty is associated with which of the following?

- ▶ Preferred stock
- ▶ Common stock
- ▶ Bonds
- ▶ T –Bills

Operating revenue can be calculated from which of the following formulas?

- ▶ Operating Revenue = Fixed cost * Quantity + Variable cost
- ▶ Operating Revenue = Price / Quantity + Variable cost
- ▶ Operating Revenue = Sale price * Quantity
- ▶ Operating Revenue = Variable cost * Quantity / Fixed cost

Capital structure theory is presented by which of the following?

- ▶ Robert Alan Hill
- ▶ Modigliani & Miller
- ▶ Brigham & Houston
- ▶ Van Horne & Gittman

Which of the followings proposes that the value of the firm is independent of its capital structure?

- ▶ The Capital Asset Pricing Model
- ▶ M&M capital structure theory
- ▶ The law of variable proportion

► The Law of One Price

Under Net income approach, which of the following is a correct sequence of calculating cost of capital?

- Net income – Total firm's market value – WACC
- Net income – WACC – total firm's market value
- WACC – Net income – market value of equity
- Market value of firm – WACC – Net income

The DuPont Approach breaks down the earning power on shareholders' book value (ROE) as follows: $ROE = \underline{\hspace{2cm}}$.

- Net profit margin $\times$ Total asset turnover $\times$ Equity multiplier
- Total asset turnover $\times$ Gross profit margin $\times$ Debt ratio
- Total asset turnover $\times$ Net profit margin
- Total asset turnover $\times$ Gross profit margin $\times$ Equity multiplier

A capital budgeting technique that is NOT considered as discounted cash flow method is:

- Payback period
- Internal rate of return
- Net present value
- Profitability index

Which of the following is NOT a major cause of unsystematic risk.

- New competitors ►
- New product management ►
- Worldwide inflation ►
- Strikes ►

If stock is a part of totally diversified portfolio then its company risk must be equal to:

- 0 ►
- 0.5 ►
- 1 ►
- 1 ►

Market risk is measured in terms of the _____ of the market portfolio or index.

- ▶ Variance
- ▶ Covariance
- ▶ Standard deviation
- ▶ Correlation coefficient

A technique that tells us the number of years required to recover our initial cash investment based on the project's expected cash flows is:

- ▶ Pay back period
- ▶ Internal rate of return
- ▶ Net present value
- ▶ Profitability index

What will be the market risk premium for stock C if the average share of stock C has a required return of 15% and treasury bonds yield is 10%?

- ▶ 5%
- ▶ 10%
- ▶ 15%
- ▶ 25%

According to Traditionalist Theory, when a 100% Equity Firm takes on more and more debt, which of the following phenomenon is observed?

- ▶ Share Price first falls, then reaches minimum and finally rises
- ▶ Share Price first rises, then reaches minimum and finally falls
- ▶ Share Price first rises, then reaches maximum and finally falls
- ▶ None of the given options

Which of the following statement depicts the disadvantage of issuing debt?

- ▶ Debt financing leads toward unlimited liability
- ▶ If company doesn't pay interest, it can be close down
- ▶ It can improve the return on equity
- ▶ Not fixed payment of interest is required by investors

If Current assets = Rs. 16,000,
Current liabilities= Rs. 10,000

Inventory= Rs. 2500

Calculate quick ratio for the firm?

▶ 1.35

▶ 6.0

▶ 1.60

▶ 0.25

(current assets – inventory)/Current liabilities

$16000 - 2500 / 10000$

1.35

If an investor is risk averse, then which of the following options best suits him?

▶ Debentures

▶ Common stock

▶ T –Bills

▶ Preferred stock

Capital structure theory is presented by which of the following?

▶ Robert Alan Hill

▶ Modigliani & Miller

▶ Brigham & Houston

▶ Van Horne & Gittman

For most firms, P/E ratios and risk_____.

▶ Will be directly related

▶ Will have an inverse relationship

▶ Will be unrelated

▶ Will both increase as inflation increases

The square of the standard deviation is known as the _____.

▶ Beta

▶ Expected return

▶ Coefficient of variation

▶ Variance

Why companies invest in projects with negative NPV?

▶ Because there is hidden value in each project

▶ Because they have chance of rapid growth

▶ Because they have invested a lot

- ▶ All of the given options

If stock is a part of totally diversified portfolio then its company risk must be equal to:

- ▶ 0
- ▶ 0.5
- ▶ 1
- ▶ -1

Which of the following is the market for short term debt?

- ▶ Money market
- ▶ Capital market
- ▶ Real asset market
- ▶ Equity market

Firm ABC has Rs.5 million in outstanding debt, currently has 200,000 shares outstanding priced at Rs.60 a share, and has a borrowing rate of 10%. If the firm's return on equity is 15%, what is the firm's WACC?

- ▶ 5.00%
- ▶ 3.23%
- ▶ 4.25%
- ▶ 2.16%

Which of the following term is used when the firm can independently control considerable assets with a very limited amount of equity?

- ▶ Joint venture
- ▶ Leveraged buyout (LBO)
- ▶ Spin-off
- ▶ Consolidation

The value of a bond is directly derived from which of the following?

- ▶ Cash flows
- ▶ Coupon receipts
- ▶ Par recovery at maturity
- ▶ All of the given options

Which of the following is the variability of return on stocks or portfolios not explained by general market movements. It is avoidable through diversification?

- ▶ Systematic risk
- ▶ Standard deviation
- ▶ **Unsystematic risk**
- ▶ Financial risk

Which of the following can be used to calculate the risk of the larger portfolio?

- ▶ Standard deviation
- ▶ EPS approach
- ▶ **Matrix approach**
- ▶ Gordon's Approach

Market risk is measured in terms of the _____ of the market portfolio or index.

- ▶ Variance
- ▶ Covariance
- ▶ **Standard deviation**
- ▶ Correlation coefficient

If 2 stocks move in the same direction together then what will be the correlation coefficient?

- ▶ 0
- ▶ **1.0**
- ▶ -1.0
- ▶ 1.5

The Serfraz Company is financed by Rs. 2 million (market value) in debt and Rs. 3 million (market value) in equity. The cost of debt is 10% and the cost of equity is 15%. Calculate the weighted average cost of capital. (Assume no taxes.)

- ▶ 10%
- ▶ 15%
- ▶ **13%**
- ▶ 8%

Reference:

$$2/5 * .10 + 3/5 * .15$$

$$0.04 + 0.09$$

$$0.13 * 100$$

$$13\%$$

Suppose that the Euro is selling at a forward discount in the forward-exchange market. This implies that most likely _____.

- ▶ The Euro has low exchange-rate risk
- ▶ The Euro is gaining strength in relation to the dollar
- ▶ Interest rates are higher in Euroland than in the United States
- ▶ Interest rates are declining in Europe

Question No: 7 (Marks: 1) - Please choose one

Which of the following make the calculation of NPV difficult?

- ▶ Estimated cash flows
- ▶ Discount rate
- ▶ Anticipated life of the business
- ▶ All of the given options

The presence of which of the following costs is NOT used as a major argument against the M&M arbitrage process?

- ▶ Transaction costs
- ▶ Insurance costs
- ▶ Bankruptcy costs
- ▶ Agency costs

On declaration date of dividend, if ABC Company announces dividend higher than the previous years, which of the following phenomenon is likely to be observe?

- ▶ Stock price falls
- ▶ Stock price rises
- ▶ Stock price remains the same
- ▶ None of the given options

Which of the following is a form of divestiture in which a subsidiary or division becomes an independent company?

- ▶ Sell-off
- ▶ Spin-off
- ▶ Liquidation
- ▶ Merger

Which of the following depicts the break even point in best way?

- ▶ $EBIT = 0$
- ▶ $EBIT < 0$
- ▶ $EBIT > 0$

► None of the given options

2 currency related MCQ's

1-How many Swis frank in Pakistani rupees????

2- How many Aud will be in pak rupees???

Q-1 Difference between ask and bid?

Q-2 Financial merger and operating merger.

Q-3 : what will be the impact if a firm have cash.